

Scenario Analysis – Nandani Petroleum & Energy

Current Scenario

The baseline forecast shows steady growth in both revenues and net profit. Under normal market conditions, Nandani Petroleum & Energy maintains profitability and demonstrates resilience. This scenario serves as the benchmark against which other outcomes are compared.

Optimistic Scenario

With sales volumes increasing by 13% and prices following the upper confidence bound, revenues and net profit rise sharply. By 2030, total refined petroleum sales exceed **67,800**, and material expenses also grow but remain proportionate. The company benefits from strong demand and favorable pricing, enabling expansion, investment in new projects, and a larger market share.

Pessimistic Scenario

With sales volumes decreasing by 8% and prices following the lower confidence bound, revenues and net profit decline significantly. By 2030, total refined petroleum sales fall to around **9,300**, while expenses also contract. This scenario highlights financial pressure, reduced profitability, and the need for cost control, risk mitigation, and conservative financial management.

Comparative Insights

- **Optimistic:** Best-case outcome, high profitability, strong growth potential.
- **Pessimistic:** Worst-case outcome, declining revenues, risk of financial stress.
- **Current:** Balanced projection, stable growth, moderate profitability.

Strategic Implications

- In the **Optimistic** case, management should pursue expansion, innovation, and investment opportunities.
- In the **Pessimistic** case, management should focus on cost reduction, efficiency improvements, and risk management.

- In the **Current** case, management should continue steady operations and maintain resilience while preparing for both upside and downside risks.